

IN CONTEXT

FOCUS

International free trade

BEFORE

1929–1939 The Great Depression creates mass unemployment worldwide.

1947 The General Agreement on Tariffs and Trade (GATT) is established; 23 countries are founding members.

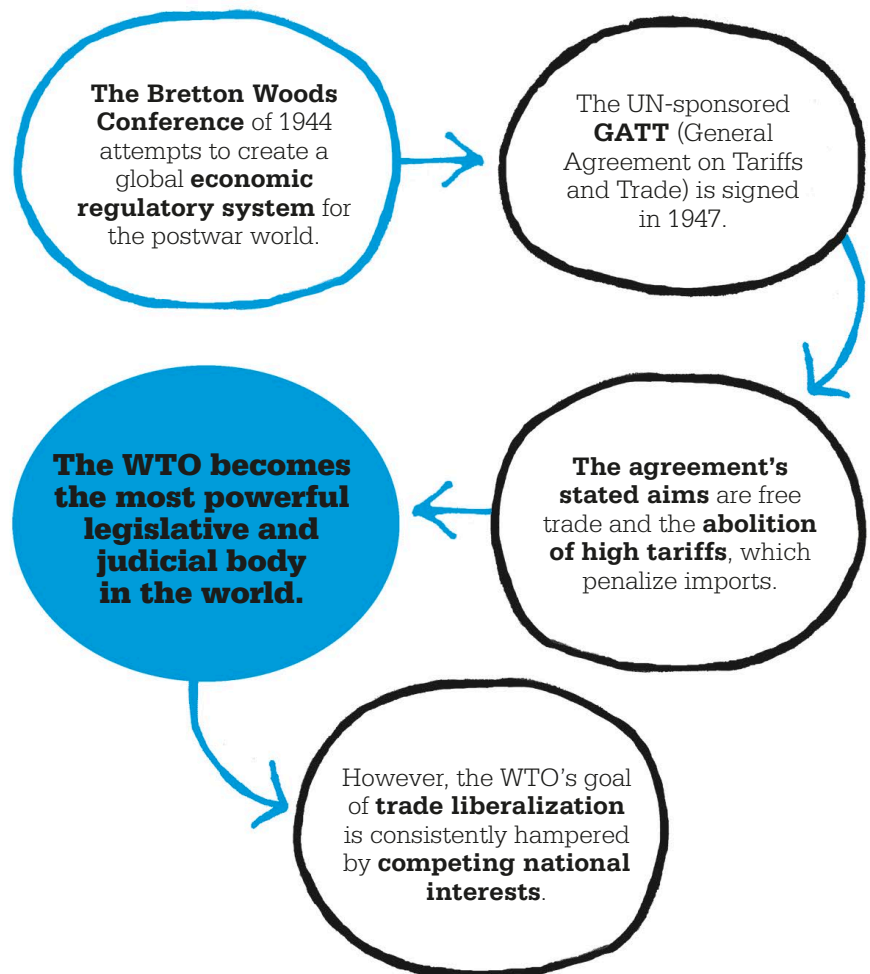
1986 The Uruguay Round of GATT talks begin—the most ambitious international trade talks yet attempted.

AFTER

1999 Violent protests take place outside the WTO talks in Seattle.

2001 The Doha Development Round attempts to introduce greater trade liberalization but makes only limited progress.

2015 Doha talks are officially abandoned by the WTO.



The creation of the World Trade Organization (WTO) in 1995 arguably represents the most forward-looking of all international agreements. It grew out of the General Agreement on Tariffs and Trade (GATT), which had been established by the United Nations in 1947. Both GATT and the WTO were informed by a single ethos: free trade between nations on terms that are both equitable and transparent produces only benefits. This was essentially an extension of the arguments put forward by Scottish economist Adam Smith in the 18th century:

that enlightened self-interest, if harnessed to individual enterprise, was the surest possible way to increase wealth.

As World War II drew to a close, such a global dream began to seem possible. For US president Franklin D. Roosevelt, British economist John Maynard Keynes, and others, one of the main lessons of the 1930s was that high import tariffs had helped destabilize international relations without improving the global economy. They believed that free trade promoted prosperity and peace, and to that end the Bretton Woods Conference of 1944 set up

the International Monetary Fund (IMF) and World Bank to help secure global financial stability and provide loans for the governments of nations that were struggling. It also agreed to put in place a system to regulate the rules of trade, and GATT followed 3 years later, sponsored by the newly created UN.

Reconciling interests

The Cold War that followed World War II produced a seemingly unbridgeable barrier between the world's two dominant powers, the US and the Soviet Union (USSR), underlined by the nuclear